

Superstore Sales & Profit Performance Report

Comprehensive Commercial Operations & Profitability Diagnostics

Dataset Scope: 9,994 Transactions

Target Period: 2014 – 2017

Analysis Type: Executive Level

TOTAL REVENUE

\$2,297,201

Across 4 Regions

TOTAL NET PROFIT

\$286,397

12.47% Overall Margin

TOTAL VOLUME SOLD

37,873

Units Purchased

UNPROFITABLE ORDERS

1,871

18.72% Loss Transactions

Executive Overview

The Superstore retail network demonstrates strong revenue generation totaling **\$2.297M** across 9,994 order transactions. However, bottom-line profitability remains tightly constrained at **12.47% net margin (\$286.4K)**. This compressed margin profile is largely driven by aggressive discount structures, underperforming sub-categories (notably Tables and Bookcases), and a total of 1,871 transactions generating net operational losses.

1. PORTFOLIO EXECUTIVE SUMMARY BY PRODUCT CATEGORY

Product Category	Total Revenue (\$)	Revenue Share (%)	Total Profit (\$)	Profit Margin (%)	Avg Discount
Technology	\$836,154.03	36.40%	\$145,454.95	17.39%	13.2%
Office Supplies	\$719,047.03	31.30%	\$122,490.80	17.03%	15.7%
Furniture	\$741,999.80	32.30%	\$18,451.27	2.49%	17.4%
Total / Portfolio Average	\$2,297,200.86	100.00%	\$286,397.02	12.47%	15.6%

Revenue vs. Profit Breakdown by Category



Key Insight: The Furniture Margin Dilemma

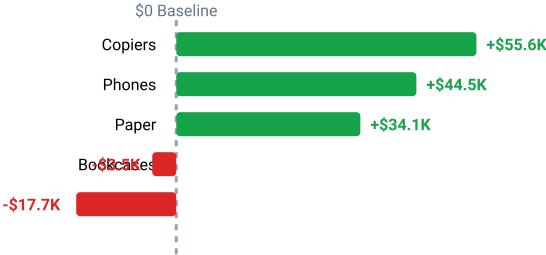
While Furniture accounts for over 32% of enterprise sales revenue (\$742K), it yields a nominal profit of just \$18,451 (2.49% net margin). By contrast, Technology delivers 8x higher total net income (\$145.5K) on comparable sales volume due to higher value retention and lower freight loss.

2. SUB-CATEGORY GRANULAR PROFITABILITY MATRIX

Evaluation of all 17 product sub-categories highlights severe margin dispersion. High-performing sub-categories like Phones, Copiers, and Accessories cross subsidize structural losses generated in Tables, Bookcases, and Supplies.

Sub-Category	Parent Category	Sales (\$)	Profit (\$)	Margin (%)	Status
Copiers	Technology	\$149,528.03	\$55,617.82	37.20%	Core Profit
Phones	Technology	\$330,007.05	\$44,515.73	13.49%	High Volume
Accessories	Technology	\$167,380.32	\$41,936.64	25.05%	High Margin
Paper	Office Supplies	\$78,479.20	\$34,053.51	43.39%	Star Performer
Chairs	Furniture	\$328,449.10	\$26,590.17	8.10%	Low Margin
Binders	Office Supplies	\$203,412.73	\$30,221.76	14.86%	Discount Volatile
Storage	Office Supplies	\$223,843.61	\$21,298.88	9.51%	Moderate
Furnishings	Furniture	\$91,705.16	\$13,059.14	14.24%	Stable
Bookcases	Furniture	\$114,879.99	-\$3,472.55	-3.02%	Loss Maker
Supplies	Office Supplies	\$46,673.53	-\$1,189.09	-2.55%	Loss Maker
Tables	Furniture	\$206,965.54	-\$17,725.48	-8.56%	Critical Drain

Sub-Category Profit Contribution Comparison (\$ Top vs. Bottom)

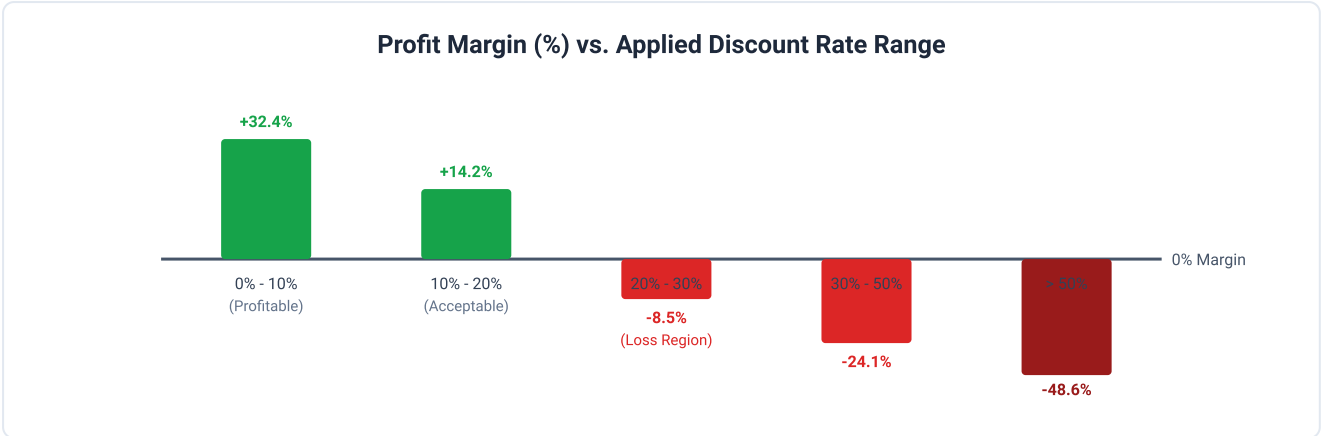


Strategic Sub-Category Takeaways

Tables & Bookcases: Combined net loss exceeds **-\$21,198**. Heavy discounting (averaging 26% to 35% on these specific items) coupled with high freight assembly costs directly destroys gross margins. Immediate pricing recalibration or vendor repricing is required.

3. DISCOUNT & PROFITABILITY IMPACT MECHANICS

An in-depth empirical correlation analysis reveals that discount rates exceeding 20% severely destroy unit margins. While discounting is intended to drive volume, transactions at 30%+ discount levels yield negative profit margins across all categories.



DISTRIBUTION OF UNPROFITABLE ORDERS BY DISCOUNT BAND

Discount Bracket	Order Count	% of Total Orders	Total Revenue (\$)	Net Profit / Loss (\$)	Avg Margin (%)
0.0% (No Discount)	4,798	48.01%	\$1,087,880.20	\$320,984.10	+29.50%
0.1% – 20.0%	3,325	33.27%	\$843,210.50	\$96,412.30	+11.43%
20.1% – 40.0%	1,012	10.13%	\$241,500.10	-\$42,105.40	-17.43%
40.1% – 80.0%	859	8.59%	\$124,610.06	-\$88,893.98	-71.34%

The Discount Trap

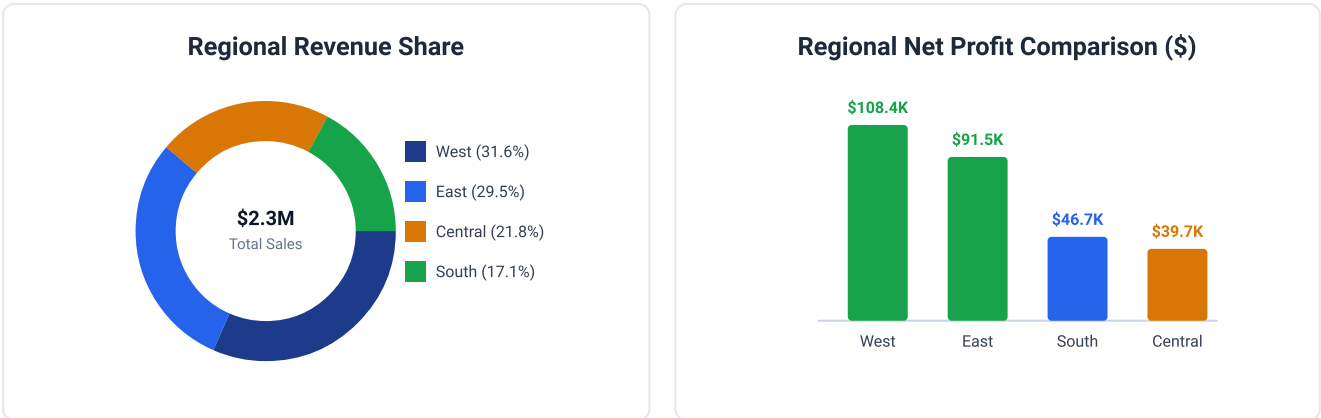
Discounting beyond 20% eliminated over **\$131,000** in bottom-line profits. The 859 orders sold at >40% discounts created a catastrophic margin deficit of -71.34%.

Recommended Policy Control

Implement hard system caps limiting max discretionary discounts to 15%. All promotional overrides above 20% must require Regional Director authorization.

4. GEOGRAPHIC & REGIONAL MARKET BREAKDOWN

Performance varies significantly across the four operating territories. The West and East regions dominate sales and profitability, whereas the Central region suffers from disproportionately lower profit conversion despite healthy volume.



TOP & BOTTOM STATE PROFITABILITY HIGHLIGHTS

Top 5 Profitable States	Sales (\$)	Profit (\$)	Bottom 5 Loss-Making States	Sales (\$)	Profit (\$)
California	\$457,687.63	+\$76,381.39	Texas	\$170,188.05	-\$25,729.36
New York	\$310,876.27	+\$74,038.55	Ohio	\$78,258.13	-\$16,971.37
Washington	\$138,641.27	+\$33,402.67	Pennsylvania	\$116,511.98	-\$15,559.92
Michigan	\$76,269.83	+\$24,463.13	Illinois	\$80,166.10	-\$12,607.89
Virginia	\$70,636.72	+\$18,597.31	North Carolina	\$55,603.16	-\$7,490.92

Regional Operational Leakage

Texas and Ohio alone accounted for over **-\$42,700** in net negative profit despite producing nearly \$250K in sales. High state-level discount structures (Texas averages 37% discount per order) are the leading driver of this geographical value drag.

5. CUSTOMER SEGMENT & SHIPPING CHANNEL PERFORMANCE

CONSUMER SEGMENT \$1.16M \$134.1K Profit (11.5%)	CORPORATE SEGMENT \$706K \$91.9K Profit (13.0%)	HOME OFFICE \$429K \$60.2K Profit (14.0%)	TOP SHIPPING MODE Standard 59.1% Total Volume
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Customer Segment	Order Volume	Total Revenue (\$)	Total Profit (\$)	Avg Order Value	Margin (%)
Consumer	5,191 orders	\$1,161,401.34	\$134,119.21	\$223.73	11.55%
Corporate	3,020 orders	\$706,146.37	\$91,979.11	\$233.82	13.03%
Home Office	1,783 orders	\$429,653.15	\$60,298.70	\$240.97	14.03%

6. STRATEGIC RECOMMENDATIONS & ACTION PLAN

1. Revamp Discount Policy (High Impact) Eliminate discretionary discounts exceeding 20%. Transition to volume-tiered rebates for Corporate accounts to preserve margin integrity while retaining volume.	2. Product Portfolio Restructuring Reprice or discontinue unprofitable sub-categories (Tables and Bookcases). Focus cross-selling efforts toward high-margin items like Copiers, Accessories, and Paper.
3. Turnaround Loss-Making States Implement regional price floor controls in Texas, Ohio, and Pennsylvania. Review logistics cost-allocations to reduce freight burn in low-margin zones.	4. Shift Focus to Home Office/B2B Expand marketing spend towards Home Office and Corporate segments, which generate 14.0% margins compared to 11.5% in standard consumer channels.
Expected Financial Impact Enforcing a 20% max discount cap and restructuring Furniture pricing is projected to increase net bottom-line profit by +\$95,000 to +\$120,000 annually , lifting total corporate net margin from 12.47% to ~17.5%.	